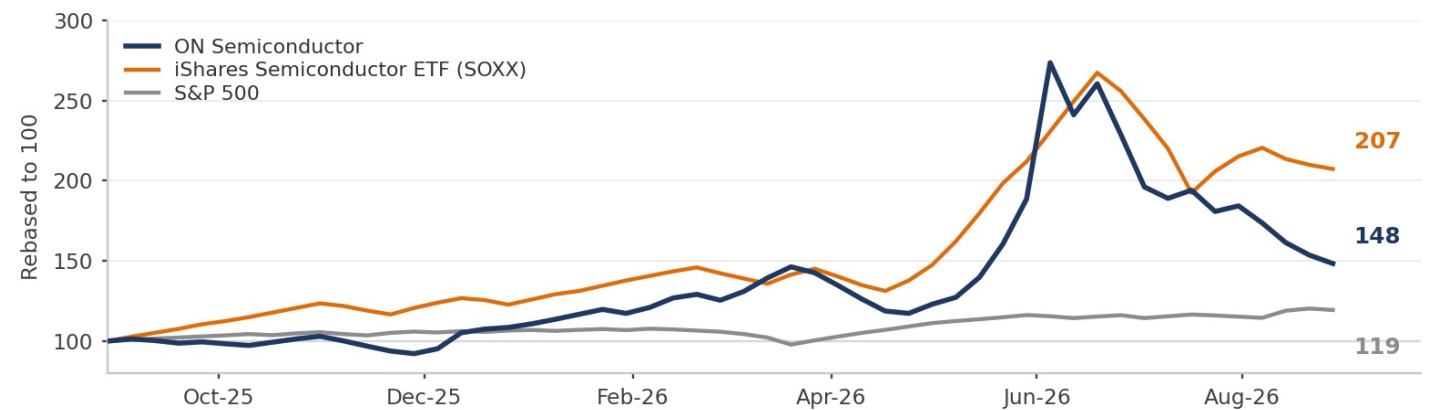


Investment Recommendation	
Rating	BUY
CMP (\$)	72.61
Target Price (\$)	84.50
Upside	16.4%
Time Horizon	12 Months
Industry	
Analog & Power Semiconductors	
Scrip Details	
Exchange / Ticker	NASDAQ: ON
Market Cap (\$bn)	28.3
Enterprise Value (\$bn)	29.0
Shares O/S — diluted (mn)	435
52W H/L (\$)	134.92 / 44.56
Dividend Yield	Nil
1Y Return (%)	48.4%
Beta (5Y)	2.01
Fiscal Year End	31 December
Market data as on 28-Aug-2026.	
Revenue Mix — FY2025	
Automotive	51%
Industrial	28%
Other (incl. AI data centre)	21%
Power Solutions (PSG)	47%
Analog & Mixed-Signal (AMG)	38%
Intelligent Sensing (ISG)	15%
Prepared By	
Parshwa Shah, CFA Level I Passed	
30 August 2026	
linkedin.com/in/parshwa-shah-3a0015252	

Investment Thesis	
● The trough is behind, and the recovery is already in the print. Revenue contracted 28% from the 2022 peak to \$6.0bn in 2025 as automotive and industrial customers destocked. That cycle has turned: Q2 2026 revenue of \$1.60bn was up 9% YoY, gross margin expanded for a fourth consecutive quarter to 39.3%, fab utilisation recovered to 83% from 77%, and Q3 guidance of \$1.65–1.75bn sits above both consensus and normal seasonality. ● AI data centre is a genuine second growth engine, not a narrative. Management guides to more than \$500mn of AI revenue in 2026 (roughly double 2025) and above \$1bn in 2027, underpinned by content across the entire power tree and design wins in the NVIDIA MGX ecosystem, at AWS and on two Great Wall platforms. The move to 800V rack architectures from late 2027 lifts content per rack from ~\$15k to ~\$115k by 2030. ● Silicon carbide share gains are compounding while the market worries about China. ON holds ~55% SiC design-win share on new Chinese EV models — the highest of any global supplier — and China automotive revenue grew 13% in H1 2026 against a flat vehicle market. Long-term supply agreements with four of the top five Chinese OEMs convert that share into multi-year visibility. ● Margin recovery is mechanical, not hopeful. The vertically integrated model earns ~50% incremental gross margin on incremental revenue, and each point of utilisation adds 25–30bps. We model gross margin rebuilding from 38.4% in 2025 to 46.3% by 2028 on utilisation, FabRight savings, fab divestitures and richer mix (Treo, SiC, vGaN) — still short of management's 53% ambition. ● The valuation dislocation is the opportunity. ON has de-rated 46% from its June 2026 high while the SOXX index gave back only 22%. The shares trade at 15.9x trailing EV/EBITDA — exactly the peer median — but on our 2027E estimates that compresses to 11.0x. The market is applying a median multiple to trough earnings on a business whose EBITDA we expect to grow 70% over three years.	
Key Catalysts	
● Analyst Day in New York on 16 September 2026 — updated long-term targets, post-Synaptics TAM framework and a detailed AI data-centre scaling roadmap. ● Sequential gross margin expansion through H2 2026; Q3 guided at 41.0% against 39.3% in Q2. ● AI data-centre revenue crossing the \$500mn annual run-rate and first 800V design-win disclosures. ● Closing of the \$7bn all-stock Synaptics acquisition (FTC clearance obtained August 2026; expected completion mid-2027), expanding TAM by \$30bn to \$243bn. ● Execution of the \$6bn buyback authorisation, with 100% of free cash flow returned to shareholders.	
Key Risks	
● Chinese SiC capacity additions creating oversupply — industry supply is growing at ~51% CAGR against ~45% demand — with pricing pressure concentrated in commoditised, lower-voltage segments. ● Automotive is 51% of revenue; a renewed downturn in global vehicle production or slower EV adoption would stall the recovery, and ON carries more EV content per vehicle than most peers. ● AI data-centre expectations are now embedded in the multiple; any slippage in the 800V transition timing would be punished disproportionately. ● Synaptics integration risk — an all-stock deal that reintroduces consumer exposure on top of a cyclical recovery still in progress.	

Exhibit 1: ON vs. SOXX vs. S&P 500 — 1-Year Relative Performance (rebased to 100)



Weekly closes, 29-Aug-2025 to 28-Aug-2026. 1-year total return: ON +48.4%, SOXX +107.3%, S&P 500 +19.4%.

Key Financial Highlights						Financial Estimates Summary				
Particulars	2021	2022	2023	2024	2025	Particulars	2025A	2026E	2027E	2028E
Revenue	6,740	8,326	8,253	7,082	5,995	Revenue	5,995	6,563	7,426	8,378
Revenue YoY (%)	28.2%	23.5%	-0.9%	-14.2%	-15.3%	Revenue growth (%)	-15.3%	9.5%	13.2%	12.8%
EBITDA	2,075	3,425	3,275	2,617	1,806	EBITDA	1,806	1,936	2,517	3,077
EBITDA (%)	30.8%	41.1%	39.7%	36.9%	30.1%	EBITDA margin (%)	30.1%	29.5%	33.9%	36.7%
PAT	1,286	2,348	2,256	1,705	966	PAT	966	1,265	1,748	2,214
PAT margin (%)	19.1%	28.2%	27.3%	24.1%	16.1%	EPS (\$)	2.3	3.2	4.4	5.6
Gross margin (%)	40.4%	49.0%	47.1%	45.5%	38.4%	P/E (x) at CMP	31.6x	22.7x	16.5x	13.0x
						EV/EBITDA (x) at CMP	15.9x	15.0x	11.0x	8.6x

Earnings are presented on an adjusted (non-GAAP) basis, excluding the \$496mn of manufacturing-equipment impairment and related one-off charges recognised in 2025. Reported GAAP net income for 2025 was \$121mn (\$0.29 per share).

ON Semiconductor is a vertically integrated intelligent power and sensing company that manufactures roughly 70% of its own silicon. That structure is the source of both its recent pain and our thesis. In a downcycle, an integrated fab base converts falling volumes into collapsing margins — which is precisely what happened between 2023 and 2025, when revenue fell 28% and gross margin compressed from 47.1% to 38.4%. In an upcycle the same structure works in reverse, delivering approximately 50% incremental gross margin on every incremental dollar of revenue. Our case is that the cycle has already turned, that a structurally new end market — AI data-centre power — is being added on top of the recovery, and that the market is capitalising a trough multiple onto rapidly normalising earnings.

1. The Cyclical Trough Is Behind Us — And It Is Visible in the Reported Numbers

Automotive and industrial together account for approximately 79% of revenue, and both spent two years working through an inventory correction that ran longer for ON than for most analog peers. That correction is now over. Automotive posted its first year-on-year revenue growth in eight quarters in Q1 2026, and in Q2 2026 the company delivered \$1,604mn of revenue, up 9.2% year-on-year, with automotive at \$781mn (+7% YoY) and industrial at \$423mn (+4% YoY).

Three operational indicators corroborate the turn rather than merely reflecting it. First, fab utilisation recovered to 83% in Q2 2026 from 77% in Q1 — and each percentage point of utilisation is worth 25–30bps of gross margin. Second, non-GAAP gross margin has now expanded for four consecutive quarters, reaching 39.3%, with Q3 guided at 41.0%. Third, inventory has normalised on both sides of the channel: 10.1 weeks in the distribution channel against a 9–11 week target, and 125 days on the balance sheet against a 100–120 day target. Q3 2026 revenue guidance of \$1.65–1.75bn is above both consensus and normal seasonality.

Equally important is what is no longer a headwind. ON completed the final \$35mn of planned non-core revenue exits in Q2 2026, having deliberately walked away from roughly \$900mn of annual low-margin revenue since 2021. Management has confirmed no further exits are planned. For the first time in five years, reported revenue growth and underlying demand growth are the same number.

The question for ON is no longer whether the cycle has turned — the Q2 print settles that. It is how much operating leverage the integrated model delivers on the way back up, and whether AI data centre scales fast enough to offset the maturity of the EV content story.

It is worth being precise about what "recovery" means here, because ON is not simply retracing its previous peak. Revenue of \$8,378mn in 2028E is roughly level with the \$8,326mn delivered in 2022 — six years of no top-line progress. What has changed is the composition and the economics of that revenue: approximately \$900mn of low-margin business has been permanently exited, AI data centre has grown from nothing to roughly a fifth of sales, and the manufacturing footprint producing it is 12% smaller. The same revenue in 2028 carries materially better economics than the same revenue in 2022, which is why we model EBITDA of \$3,077mn against \$3,425mn in 2022 on almost identical sales — and rising from there.

Q2 2026 Scorecard

Revenue	\$1,604mn (+9.2%)
Non-GAAP gross margin	39.3%
Non-GAAP EPS	\$0.74 (cons. \$0.72)
PSG revenue	\$829mn (+19%)
AMG revenue	\$546mn (-2%)
ISG revenue	\$229mn (+7%)
Automotive	\$781mn (+7%)
Industrial	\$423mn (+4%)
Q3 revenue guidance	\$1.65–1.75bn
Q3 gross margin guidance	41.0%

Reported 3 August 2026. Year-on-year growth in brackets. Revenue and EPS both beat consensus and Q3 guidance was set above consensus.

2. AI Data Centre — A Second Growth Engine Being Added to a Recovering Base

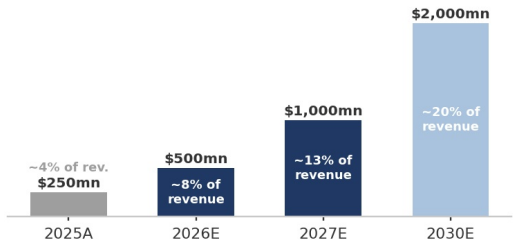
ON is the only broad-based US power semiconductor supplier with technology spanning the complete AI data-centre power tree — from the utility grid through to the smart power stages sitting alongside the processor. That end-to-end position lets it capture content at every conversion stage rather than competing for a single socket, and it is the reason AI revenue is scaling faster than the market expected.

AI data-centre revenue grew approximately 34% sequentially in Q2 2026, and management has raised its 2026 guidance from "doubling" to "more than doubling", implying above \$500mn for the year and above \$1bn in 2027. The design-win base behind that guidance is concrete: an expanded role in the NVIDIA MGX ecosystem, power-supply and battery-backup wins at AWS, majority share with a large US hyperscaler for SiC JFET and T10 trench FET content in PSUs and BBUs, and two new Great Wall platform wins in China.

The larger prize sits further out. The shift to 800V DC distribution — expected from late 2027 or early 2028 — is the single biggest content-expansion event on ON's horizon, lifting content per rack from approximately \$15,000 today to \$115,000 by 2030, with high-voltage products rising from ~30% to ~50% of rack content. Power content per next-generation 1MW rack has already doubled from \$50,000 to \$100,000. We model AI data centre moving from ~4% of revenue in 2025 to ~20% by 2028.

Exhibit 2: AI Data-Centre Revenue Ramp

AI data-centre revenue trajectory



Company guidance and disclosed TAM framework; percentages are share of total company revenue.

The AI data-centre TAM has been raised to \$47.5bn by 2030, a 72% CAGR from ~\$12bn. ON's own AI revenue is modelled to compound at approximately 67% between 2026 and 2030 — the fastest-growing revenue pool the company has ever addressed.

3. Silicon Carbide — Share Gains Are Compounding While the Market Debates Chinese Competition

The consensus concern on ON is that Chinese SiC localisation erodes its position. The disclosed data points in the opposite direction. ON holds approximately 55% SiC design-win share across new Chinese EV models — the highest of any global supplier — and China automotive revenue grew 13% year-on-year in H1 2026, comfortably outpacing Chinese vehicle sales. Growth of that shape is content and share gain, not volume.

The mechanism is technical and durable. ON's total SiC solutions are 10–15% more efficient than those of Infineon and STMicroelectronics, and the gap against local Chinese solutions is wider still. Its SiC JFET technology, acquired with Qorvo's JFET division, offers the lowest on-resistance in a given footprint — precisely the characteristic that matters for high-density data-centre PSUs. Vertical integration into SiC crystal growth through the 2021 GT Advanced Technologies acquisition provides a cost and supply-security advantage no fabless competitor can replicate quickly.

Commercially, ON holds long-term supply agreements with four of the top five Chinese OEMs, and North American share is now opening up as well, with SiC MOSFET content designed into Rivian's R2 platform and onboard charging systems. China automotive SiC revenue is guided to grow 60–70% in 2026 and total SiC revenue above 40%. Lead times have extended to approximately 32 weeks with book-to-bill meaningfully above one, and some customers are placing orders into 2028 to secure supply.

We do not dismiss the oversupply risk — industry SiC supply is growing at roughly a 51% CAGR against 45% demand growth, and that gap will compress pricing. Our judgement is that the pressure lands on commoditised, lower-voltage products where ON has deliberately reduced its exposure, while ON's differentiated high-voltage and JFET portfolio retains pricing power. SiC still commands roughly 3x the ASP of an equivalent IGBT, and 85–95% of next-generation EV designs are specifying it. The relevant test over the next four quarters is not whether SiC pricing falls — it will — but whether ON's SiC revenue grows faster than its SiC average selling prices decline. On current guidance of 40%+ SiC revenue growth in 2026, it does, comfortably.

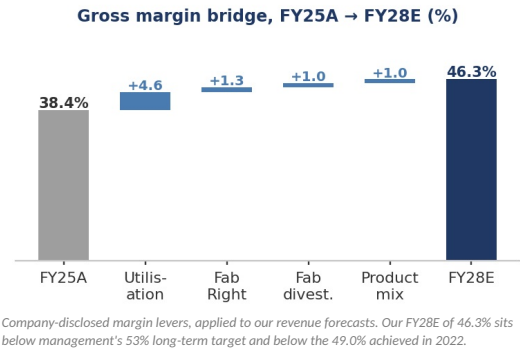
4. The Margin Bridge Is Mechanical, and We Model Below Guidance

Management targets a 53% long-term gross margin. We do not underwrite that number. What we do underwrite is the identifiable, quantified portion of the bridge: approximately 640bps of expansion by the end of 2027 built from four levers — higher factory utilisation (~700bps of the gross drag currently being absorbed), FabRight cost initiatives (~200bps), the benefit of divesting the Tarlac and Mountain Top facilities (~200bps, worth roughly \$35mn annualised from 2027), and richer product mix from Treo, SiC and vGaN (~200bps).

Our model takes gross margin from 38.4% in 2025 to 46.3% in 2028E — a 790bps recovery that still leaves the company roughly 700bps short of management's ambition and below its own 49.0% peak achieved in 2022. The reason we are comfortable is that the largest single component is not a cost programme requiring execution; it is the reversal of approximately 900bps of unabsorbed fixed cost that low utilisation imposed on the P&L. That reverses automatically as volumes normalise.

This is the crux of the earnings case. At ~50% incremental gross margin, the \$2.4bn of revenue recovery we model between 2025 and 2028 translates into disproportionate profit growth: EBITDA rises 70% and adjusted EPS compounds at 34.6% over the same period.

Exhibit 3: Gross Margin Bridge — FY25A to FY28E



5. Proprietary Technology — vGaN and Treo Are the Structural, Not Cyclical, Part of the Story

Two proprietary platforms distinguish ON from a straightforward cyclical recovery trade. The first is vertical GaN. ON is the only company currently sampling proprietary 1,200V vertical GaN at scale — a GaN-on-GaN architecture developed and manufactured in-house at Syracuse, New York, offering a roughly 3x smaller footprint and nearly 50% lower energy loss than silicon alternatives, and protected by more than 130 global patents. Unlike lateral GaN-on-silicon, which typically depends on third-party foundry partnerships, vGaN is fully owned. More than 30 GaN-based products are scheduled for introduction in 2026, the design funnel exceeds \$1.5bn, and the commercial ramp begins in late 2026 with meaningful revenue in 2027 — timed to the 800V data-centre transition.

The second is Treo, a 65nm mixed-signal analog platform capable of monolithic high-voltage integration to 90V. Treo targets 60–70% incremental gross margins against the company's current blended 39.3%, has surpassed \$1bn in design wins, and more than doubled sequentially in Q1 2026. Its design-to-production cycle has been compressed from two years to 6–9 months. Treo addresses automotive zonal architecture, 10BASE-T1S Ethernet and ultrasonic sensing — with approximately 40% of new vehicles expected to adopt zonal architectures over the next five years, this is a directly addressable content wave rather than a speculative one.

6. Capital Returns — 100% of Free Cash Flow, With the Investment Cycle Complete

The heavy SiC capacity build is finished, and capex has fallen from \$1,576mn in 2023 to \$341mn in 2025, reaching the mid-single-digit percentage of revenue target ahead of schedule. The consequence is that free cash flow recovered to \$1.42bn in 2025 despite the worst revenue year of the cycle — a 23.7% FCF margin achieved on trough earnings.

That cash is being returned. ON repurchased approximately \$1.4bn of stock in 2025 — roughly 100% of free cash flow — and entered 2026 with an upsized \$6bn authorisation announced in November 2025, to be executed over three years. Against a \$28.3bn market capitalisation, that authorisation represents approximately 21% of shares outstanding. We model buybacks of \$1.3–1.6bn annually through 2028, and free cash flow rising to \$2.0bn by 2028E.

7. Synaptics — TAM Expansion With Real Integration Risk

In June 2026 ON announced an all-stock acquisition of Synaptics valued at approximately \$7bn, expected to close mid-2027; FTC clearance was obtained in August 2026. Strategically the logic is clear: it completes a "power, sense, connected compute and control" stack by adding edge AI compute, connectivity and software to ON's existing power and sensing portfolio, expanding TAM by \$30bn to \$243bn by 2030 and lifting the combined AI TAM to roughly \$100bn growing at ~25% CAGR. Management expects the deal to be accretive to non-GAAP EPS within 18 months of closing on approximately \$200mn of annual synergies, 85–90% from operating expenses, after absorbing \$150mn of Synaptics stock-based compensation.

There is a longer-dated option embedded in it. Synaptics supplies silicon to Tesla for humanoid robots, with pilot production planned by end-2026 and a one-million-unit run-rate targeted for 2027, and its robotics pipeline spans more than 35 OEM engagements. We assign no value to this in our forecasts. We also flag the cost honestly: the deal reintroduces consumer end-market exposure that ON spent five years reducing, and it demands management attention during a recovery that is not yet complete. **Our estimates and target price exclude Synaptics entirely** — it is upside to our numbers, and a risk to execution.

8. Valuation — The Dislocation Is the Opportunity

ON has fallen 46% from its June 2026 high of \$134.92 while the SOXX index gave back only 22% from its peak — roughly 24 percentage points of relative de-rating in under three months, on a stock that beat consensus on its most recent print and guided above it. At \$72.61 the shares trade at 15.9x trailing EV/EBITDA — precisely the peer median — but at 15.0x our 2026E and 11.0x our 2027E EBITDA. The multiple is not obviously cheap on reported numbers; it is cheap relative to the earnings the business is about to report.

We are not arguing ON deserves Analog Devices' 18.2x or Monolithic Power's 40.9x. We are arguing that a business whose EBITDA we expect to grow 70% over three years, which generates a 23.7% free cash flow margin at the bottom of its cycle and returns all of it to shareholders, should not trade below the median multiple of a peer set growing more slowly.

9. Why We Think the Market Is Mispricing This

A thesis needs an explanation for why the opportunity exists, otherwise it is just a forecast. Ours rests on three observations about how this particular stock has traded.

First, the de-rating has been indiscriminate. Between the 3 June 2026 high of \$134.92 and the current price, ON has fallen 46% while SOXX gave back 22% — roughly 24 percentage points of relative underperformance in under three months. Over the same window ON beat consensus on Q2 revenue and EPS, guided Q3 above consensus, expanded gross margin for a fourth consecutive quarter, and obtained FTC clearance for Synaptics. There is no operational event in that window that explains the move. What there is instead is a broad unwind of AI-linked positioning, and ON — which rallied 175% from its November 2025 low on the AI narrative — was among the most crowded and therefore among the most violently unwound.

Second, the reported earnings base is misleading in a way that is unusual even for a cyclical. GAAP net income of \$121mn in 2025 puts the trailing P/E near 240x; adjusted net income of \$966mn puts it at 32x; and our 2027E puts it at 16.5x. Screens and quantitative models overwhelmingly use the first two. A business whose reported earnings understate its normalised earnings by an order of magnitude is systematically invisible to a large part of the market until the numbers actually print.

Third, the debate has become binary when the business is not. Sell-side commentary has largely reduced ON to a single question — does AI data centre scale or not — and priced it accordingly, first upward and then downward. But AI is roughly 8% of 2026E revenue. Even in a scenario where AI revenue simply flatlines at the current run-rate, the automotive and industrial recovery plus the margin bridge still delivers most of the earnings growth we forecast. The market is treating an option on AI as though it were the whole business.

We are not arguing that the June price of \$134.92 was correct and that the stock should return to it. We think that price embedded an AI ramp that had not yet been earned. Our argument is narrower: the round trip has overshot in the other direction, and at \$72.61 the market is now paying nothing for the option it was paying too much for three months ago.

The Round Trip	
52-week low (21-Nov-2025)	\$44.56
52-week high (3-Jun-2026)	\$134.92
Rally, low to high	+203%
Current price	\$72.61
Drawdown from high	-46%
SOXX drawdown from high	-22%
Relative underperformance	-24pp

ON Semiconductor, which trades as onsemi, is a global intelligent power and sensing semiconductor company headquartered in Scottsdale, Arizona. It sells more than 90,000 products to over 10,000 customers, and — unlike its fabless peers — manufactures approximately 70% of its chip content in-house across a global network of wafer fabs and back-end facilities. Since Hassane El-Khoury became CEO in early 2021, the company has been deliberately repositioned away from commoditised discrete components toward differentiated power and sensing platforms serving automotive, industrial and, increasingly, AI data-centre customers.

The economic engine is a design-win model. Roughly half of sales derive from products designed into customer platforms with lifecycles of seven years or more. Once a device is qualified into a vehicle platform or an industrial system, the revenue stream is durable and the switching cost for the customer is prohibitive — automotive requalification alone can take years.

At a Glance	
Headquarters	Scottsdale, Arizona
CEO (since 2021)	Hassane El-Khoury
Products / customers	90,000+ / 10,000+
Manufactured in-house	~70%
FY2025 revenue	\$5,995mn
FY2025 gross margin	38.4%
LTSA performance obligations	~\$11.9bn
Global SiC share (#2)	~22–25%
ADAS image sensor share	~60%
Buyback authorisation	\$6.0bn

Three Operating Segments

Segment	Description	Key products	FY25 revenue	FY25 GM
Power Solutions Group (PSG)	Analog, discrete, module and integrated devices for power conversion — the largest and most cyclical segment, and the primary vehicle for AI data-centre content	SiC MOSFETs and JFETs, IGBTs, GaN/vGaN, power modules, circuit protection	\$2,805mn	24.5%
Analog & Mixed-Signal Group (AMG)	Power management, sensor interface, connectivity and standard products — the most margin-resilient segment through the downcycle	Battery management, motor drivers, automotive Ethernet, Treo analog platform	\$2,262mn	51.1%
Intelligent Sensing Group (ISG)	CMOS image sensors and signal processors; being repositioned toward ADAS and machine vision and away from commoditised consumer sensing	ADAS image sensors, SWIR, photon-counting, factory-automation sensors	\$928mn	15.1%
Total			\$5,995mn	38.4%

How the Company Earns Money — Five Mechanisms

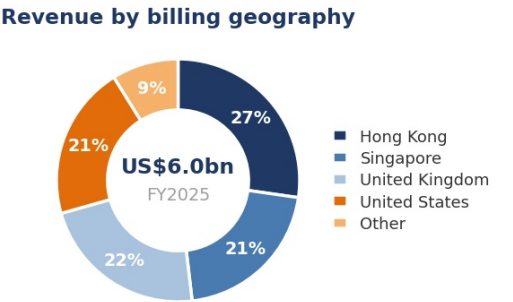
- **Design-win lock-in.** Products are qualified into platforms with 7+ year lifecycles. Once designed in, revenue is recurring for the life of the platform and displacement requires the customer to requalify — a multi-year, high-risk exercise in safety-critical applications.
- **Long-term supply agreements (LTSA).** ON contracts legally binding, take-or-pay agreements covering price, volume and timing, often several years forward. Remaining performance obligations stood at approximately \$11.9bn at end-2024. Critically, LTSAs shift pricing away from annual input-cost negotiation toward generational transitions and efficiency gains — a structural, cross-cycle improvement in pricing power.
- **Content expansion rather than unit growth.** Automotive revenue grew approximately 70% over five years against a broadly flat global SAAR. Growth came entirely from dollar content per vehicle — electrification, ADAS and zonal architecture — not from more cars being built.
- **Vertical integration operating leverage.** Manufacturing ~70% internally, including SiC crystal growth via GT Advanced Technologies, produces approximately 50% incremental gross margin on incremental revenue in upcycles. The same structure amplifies losses in downcycles, which is the honest trade-off.
- **Deliberate portfolio pruning.** Approximately \$900mn of annual low-margin revenue has been exited since 2021, structurally raising the margin floor of the remaining business at any given utilisation level.

Manufacturing Footprint — the FabRight Strategy

"FabRight" is ON's programme to concentrate production in scaled, modern facilities and exit subscale legacy sites. Definitive agreements have been signed to divest facilities in Tarlac, Philippines and Mountain Top, Pennsylvania, delivering approximately \$35mn of annualised savings with initial benefit in 2027 and full run-rate in 2028. The manufacturing footprint has been reduced by 12%.

Two assets anchor the remaining base. East Fishkill, New York is the only 300mm power discrete and image-sensor fab in the United States, providing a cost advantage on high-voltage MOSFETs and ADAS sensors that competitors cannot replicate without years and billions of investment. Syracuse, New York houses the proprietary vGaN development and manufacturing capability. The company is also transitioning to 200mm SiC wafers with fungible 150mm/200mm capacity.

Exhibit 4: Revenue by Billing Geography



Geographic revenue is reported by billing location, not end-customer location. Hong Kong and Singapore are Asia-Pacific distribution channels serving Chinese and broader Asian OEMs. On an end-market basis, Q1 2026 sales were Asia ex-Japan 53%, Europe 22%, Americas 19%, Japan 6%.

The customer base is diversified but channel-concentrated. The top 20 customers represent approximately 40% of revenue, including Bosch, Denso, Continental, Tesla, BYD, Volkswagen, BMW, Hyundai, NVIDIA, AWS, Apple and Siemens. Distributors account for roughly 54% of revenue in aggregate, and a single distributor represented approximately 11% of 2025 revenue — a genuine concentration risk at the channel level that we treat as a standing exposure rather than a thesis-breaker.

ON competes across three distinct end markets with different cycles and different economics: automotive power and sensing (including silicon carbide), industrial power and sensing, and AI data-centre power. Each is driven by a specific technology transition rather than by unit growth in the underlying end product, which is what makes content-per-unit the correct analytical frame in all three.

Structural Growth Drivers

Driver	Mechanism and relevance to ON
Silicon-to-SiC transition	SiC is displacing silicon IGBTs and MOSFETs in high-voltage, high-efficiency applications. SiC's share of the total power device market is forecast to rise from ~13% in 2023 to ~35% by 2029, with EVs driving ~60% of that growth and AI data centres 20-25%. SiC carries roughly 3x the ASP of an equivalent IGBT. ON is on the correct side of this transition — it is the substitute, not the incumbent being substituted.
800V data-centre architecture	AI racks are migrating from 54V to 800V DC distribution from late 2027. This is a full re-architecture of rack power delivery, not an incremental upgrade, and it multiplies semiconductor content per rack by approximately 7.7x. High-voltage devices rise from ~30% to ~50% of rack content.
Automotive content expansion	Electrification, ADAS and the shift to zonal E/E architecture raise semiconductor dollar content per vehicle independently of production volumes. Approximately 40% of new vehicles are expected to adopt zonal architectures within five years.
Energy infrastructure and the "AI halo"	Data-centre buildout is pulling through demand for grid-adjacent power infrastructure. Energy storage system revenue is guided to grow ~40% in 2026, driven by North American microgrid customers.
Vertical GaN emergence	GaN-on-GaN enables monolithic devices at 1,200V and above with a materially smaller footprint and lower loss than silicon. ON is currently the only supplier sampling this at scale.

Market Structure — a Three-Player Oligopoly in SiC

The broader power semiconductor market is fragmented, but the silicon carbide sub-segment — where the growth and the margin are — is concentrated. STMicroelectronics leads with approximately 29% share, followed by ON at ~22% and Infineon at ~20%. Together the three control roughly 70% of a market growing considerably faster than the semiconductor industry as a whole.

ON is the smallest of its principal Western competitors by revenue — Infineon at \$15.9bn, NXP at \$12.6bn and Analog Devices at \$9.3bn against ON's \$6.0bn — and its 38.4% gross margin trails NXP's ~58% and ADI's ~68%. That gap is partly cyclical (utilisation) and partly structural (a product mix still in transition), and closing it is the central operational task of the next three years.

The China Question, Framed Properly

China's national push to localise SiC production is real and is the most legitimate bear argument on the stock. Chinese producers are adding capacity aggressively, and industry SiC supply is growing at approximately a 51% CAGR against ~45% demand growth through 2030 — an oversupply gap that will compress pricing.

Our view is that this pressure is concentrated in lower-voltage, commoditised segments where differentiation is minimal and Chinese cost structures win. ON's exposure sits increasingly in high-voltage, high-efficiency and JFET products where its 10-15% efficiency advantage is decisive, and it is protected commercially by LTSA's with four of the top five Chinese OEMs. ON is also making tactical, targeted price concessions in SiC to defend share — funded by cost savings rather than broad-based cuts.

The Analog Cycle in Context

Analog and power semiconductor cycles are long and deep, and the 2023-25 downturn was among the more severe of the past two decades. The pattern is consistent: end customers over-order during shortage, accumulate inventory, then stop ordering entirely while they consume it. Revenue for the supplier falls faster than end demand on the way down and recovers faster on the way up, because the channel restocks as well as consumes.

Two features distinguish the current turn. First, it is asynchronous — AI data centre entered an acute shortage while automotive and industrial were still destocking, which is why ON has been prioritising data-centre allocation. Second, capacity discipline has been unusually strong across the Western suppliers: ON cut capex 78% between 2023 and 2025 and reduced its footprint 12%, and peers have behaved similarly. Supply is therefore tighter entering this recovery than it was entering the last one, which is visible in ON's 32-week SiC lead times and its ability to implement a second round of price increases into a market that has only just stopped shrinking.

The risk to this framing is that Chinese capacity, which has not been subject to the same discipline, fills the gap. That is the substance of the bear case, and it is why we treat SiC pricing as the single most important variable to monitor over the next four quarters.

Demand Outlook by End Market

End market	Outlook	Assessment
AI data centre ~4% of 2025 revenue	Very positive	Revenue more than doubling in 2026 to above \$500mn and guided above \$1bn in 2027. Design wins secured across the NVIDIA MGX ecosystem, AWS power supply and battery backup, majority SiC JFET share with a large US hyperscaler, and two Great Wall platforms in China. The 800V rack transition from late 2027 is the largest content event on the horizon.
Automotive 51% of 2025 revenue	Positive, recovering	First year-on-year growth in eight quarters delivered in Q1 2026, with Q2 up 7%. Growth is driven by content per vehicle rather than unit volumes — mid-to-high single-digit CAGR expected through 2030 on 800V EV architectures, zonal E/E designs and ADAS sensor adoption. China SiC revenue guided up 60-70% in 2026; Rivian R2 opens North American share.
Industrial 28% of 2025 revenue	Stabilising	Up 4% year-on-year in Q2 2026 after an extended destocking cycle. Growth is led by energy storage (guided +40% in 2026 on North American microgrids), medical and factory automation, partially offset by continued weakness in traditional industrial. We model 5-6% annual growth through 2030 — the slowest of the three, and the segment where visibility is weakest.
Silicon carbide (cross-market)	Growth with pricing risk	SiC's share of the total power device market is forecast to rise from ~13% in 2023 to ~35% by 2029, with EVs driving ~60% of growth and AI data centres 20-25%. Total SiC revenue is guided up more than 40% in 2026. The offsetting risk is supply growing at ~51% CAGR against ~45% demand, creating pricing pressure concentrated in commoditised segments.

Across all three end markets the growth mechanism is the same: semiconductor dollar content per unit is rising faster than the number of units. That is what allowed automotive revenue to grow ~70% over five years against flat global vehicle production, and it is why we build our forecasts from content and share assumptions rather than from end-product volume forecasts.

Exhibit 5: Addressable Market Framework by 2030

Market	TAM 2030	CAGR
AI data centre power	\$47.5bn	72%
Electric vehicles	\$63.5bn	12%
Treo analog platform	\$36.0bn	n/a
Total ON TAM (standalone)	\$213bn	—
Synaptics increment	\$30bn	—
Combined TAM	\$243bn	—

Company-disclosed TAM framework. We use these figures as directional context only; our forecasts are built bottom-up from segment revenue, utilisation and margin, not from TAM penetration.

A note on market sizing: published TAM estimates for power semiconductors vary widely because they count different pools — device value, system value, or only the outsourced portion. We therefore anchor our forecasts to ON's own disclosed operating metrics (segment revenue, utilisation, channel inventory, design-win disclosures and LTSA obligations), which are reported quarterly and auditable, rather than to a top-down market number.

Cyclical Position Indicators — Q2 2026

Fab utilisation	83% (vs. 77% Q1)
Channel inventory	10.1 wks (target 9-11)
Internal inventory days	125 (target 100-120)
SiC lead times	~32 weeks
Book-to-bill	Above 1.0x
Consecutive GM expansion	4 quarters

Porter's Five Forces

Force	Intensity	ON's defence	Moat impact	Key evidence
Threat of new entrants	Low	Strong	Positive	AEC-Q100/Q101 automotive qualification requires multi-year validation. SiC wafer manufacturing demands proprietary substrate expertise and heavy capital — ON's 2021 GT Advanced acquisition gave it crystal-growth integration that takes years and hundreds of millions to replicate. 130+ vGaN patents; the only US 300mm power discrete and image-sensor fab; acute scarcity of analog design talent. <i>Structural — these barriers do not compress in downturns.</i>
Supplier power	Moderate	Moderate	Neutral	Dependence on a limited number of specialised third-party suppliers for critical materials; replacement is slow and costly. SiC substrate supply remains an input risk, partially — not fully — mitigated by vertical integration. A second round of price increases is being implemented across all markets to offset raw-material inflation, with no relief expected in 2027. The \$496mn 2025 equipment impairment illustrates the cost of over-committing to a supply configuration. <i>Structural.</i>
Buyer power	Moderate	Strong	Positive	Top 20 customers are ~40% of revenue and are sophisticated buyers, and one distributor is ~11% of revenue. But switching costs post-qualification are prohibitive in safety-critical applications. ON holds ~60% share of its ADAS image-sensor market and ~55% SiC design-win share on new China EV platforms. Customers are currently booking into 2027–28 to secure supply. <i>Switching costs structural; forward booking cyclical.</i>
Threat of substitutes	Low	Strong	Positive	The principal substitution in power semis is silicon being displaced by SiC and GaN — ON is the beneficiary, not the victim. In sensing, radar and lidar are complementary rather than substitutive given sensor fusion. The residual risk is architectural: a hyperscaler shift to a different power-delivery topology. The 800V direction currently favours ON. <i>Structural and multi-year.</i>
Competitive rivalry	High	Moderate	Neutral	SiC is a three-player oligopoly (ST ~29%, ON ~22%, Infineon ~20%) but ON is the smallest of its Western peers by revenue and its gross margin trails NXP and ADI materially. Pricing intensity is elevated, with tactical SiC concessions to defend share and Chinese producers ramping capacity. Treo and vGaN differentiation partially offsets. <i>Chinese competition is structural, not cyclical.</i>

Where ON's Moat Is Genuinely Durable — Four Sources

1. Vertical integration in silicon carbide

ON is 100% vertically integrated for both silicon and SiC in automotive and industrial applications, owning the process from crystal growth through to finished device. Fabless competitors depend on third-party substrate suppliers in a market where substrate availability has repeatedly been the binding constraint. This is why ON can commit to LTSA's with take-or-pay terms — it controls the supply it is contracting.

2. The complete power tree

ON is the only broad-based US power supplier with technology spanning grid-to-processor in AI data centres. Competitors bid for individual sockets; ON can capture content at every conversion stage and integrate drivers, controllers and thermal packaging into a single solution — retaining the high-margin content rather than ceding it.

3. Proprietary process technology

vGaN (130+ patents, developed and manufactured in-house), SiC JFET with the lowest on-resistance per footprint, and the Treo 65nm mixed-signal platform are genuinely proprietary. None was acquired as off-the-shelf capability; each represents process knowledge that is slow to replicate and is protected by patent estate.

4. Contractual revenue visibility

Approximately \$11.9bn of LTSA performance obligations are legally binding on price and volume with take-or-pay provisions — not indicative backlog. Few competitors offer the supply security that justifies customers signing such terms, and the model shifts pricing negotiation away from annual cost pass-through toward generational technology transitions.

Where the moat is weakest. ON's gross margin sits materially below NXP and Analog Devices, which tells us its product mix is still transitioning and that a meaningful share of revenue remains competitively exposed. The ISG segment's gross margin collapse to 15.1% in 2025 from 46.7% in 2024 is direct evidence of commoditisation in lower-end sensing. The moat is strong in SiC, vGaN, Treo and ADAS sensing — it is thin everywhere else, and the investment case depends on the protected portion growing faster than the exposed portion.

Competitive Positioning Against the Peer Set

Dimension	ON Semiconductor	Infineon / STMicro	NXP	Analog Devices
SiC position	#2 globally at ~22–25% share; fully integrated including crystal growth; targets 30–40% by 2027	ST #1 at ~29%, Infineon #3 at ~20%; both scaled and integrated — the genuine competitive set	Minimal SiC exposure; competes in automotive processing and radar rather than power	No material SiC; competes in precision analog and signal chain
AI data-centre power	Full power tree, grid to processor; NVIDIA MGX, AWS, hyperscaler JFET wins; >\$500mn in 2026E	Infineon is the principal competitor in data-centre power and is larger; ST less exposed	Limited direct exposure to rack power delivery	Growing exposure via power management, but not a full power-tree supplier
Gross margin	38.4% in 2025, recovering to 46.3% by 2028E	Infineon low-40s; ST high-30s — comparable structural profile as fellow IDMs	~58% — structurally higher on a more differentiated mix	~68% — the sector benchmark
Manufacturing model	IDM, ~70% internal; high operating leverage in both directions	IDM with similar cyclical amplitude	Hybrid, more externally sourced — lower fixed-cost drag	Hybrid; least cyclical margin profile of the group
Key vulnerability	Automotive concentration at 51%; Chinese SiC pricing; margin still below peer group	Scale advantage over ON in both R&D and capacity	Slower structural growth; less exposure to the AI power theme	Premium valuation leaves limited room for disappointment

The competitive set that matters for ON is Infineon and STMicroelectronics in power, not the US analog names it screens against on valuation. Both are larger, similarly integrated and pursuing the same SiC and data-centre opportunities — and both face the same Chinese competitive pressure.

Technology Roadmap — What Converts the Moat Into Revenue

Technology	Status	Revenue timing	Commercial significance
SiC MOSFETs	In production	Now	The current revenue engine. ~22–25% global share, #2 position, ~55% design-win share on new Chinese EV platforms. Guided above 40% revenue growth in 2026.
SiC JFET	In production	Now	Acquired with Qorvo's JFET division. Lowest on-resistance per footprint, which is decisive for high-density data-centre PSUs and battery backup units. Majority share secured with a large US hyperscaler.
Treo analog platform	Ramping	2026–27	65nm mixed-signal with monolithic high-voltage integration to 90V. Targets 60–70% incremental gross margin against ~39% blended. \$1bn+ design wins secured; design-to-production compressed from 2 years to 6–9 months.
Vertical GaN (vGaN)	Sampling	Late 2026 →	Only supplier sampling proprietary 1,200V GaN-on-GaN at scale. ~3x smaller footprint and ~50% lower loss than silicon; 130+ patents; developed and built in-house at Syracuse. 30+ products launching in 2026; design funnel above \$1.5bn.
800V rack content	In design	2028 →	Content per rack from ~\$15k to ~\$115k by 2030 as hyperscalers adopt 800V DC distribution. High-voltage products rise from ~30% to ~50% of rack content. The largest single content-expansion event in the roadmap — and the one with the least control over timing.

Switching Costs in Practice

Moat arguments in semiconductors are frequently asserted and rarely evidenced. Three specific pieces of evidence support ON's. First, approximately \$11.9bn of long-term supply agreement performance obligations are legally binding on price and volume with take-or-pay provisions — customers do not sign those terms with suppliers they regard as replaceable. Second, customers are currently placing orders as far out as 2028 to secure SiC allocation, which is behaviour consistent with a constrained and differentiated supply base rather than a commoditised one. Third, ON was able to implement a second round of price increases across all markets into an end market that had only just stopped contracting.

The counter-evidence is equally worth stating: ISG gross margin fell from 46.7% to 15.1% in a single year, which is not what a protected franchise looks like. The honest conclusion is that ON is two businesses — a genuinely defensible power and ADAS-sensing franchise, and a commoditised residual that is being shrunk deliberately. The investment case is a bet on the mix between them continuing to shift.

Exhibit 6: End-Market Revenue Mix (US\$mn)

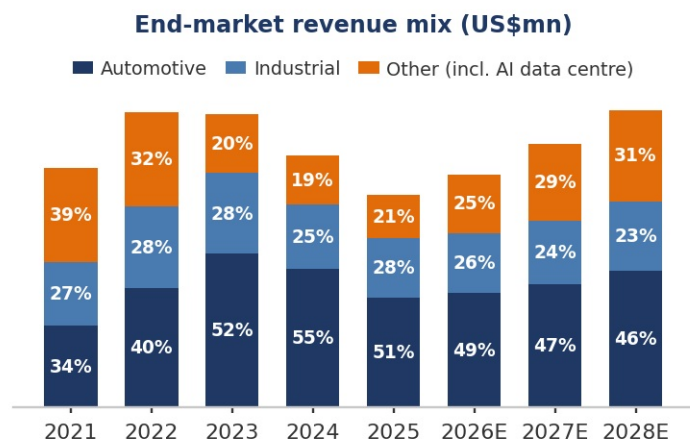
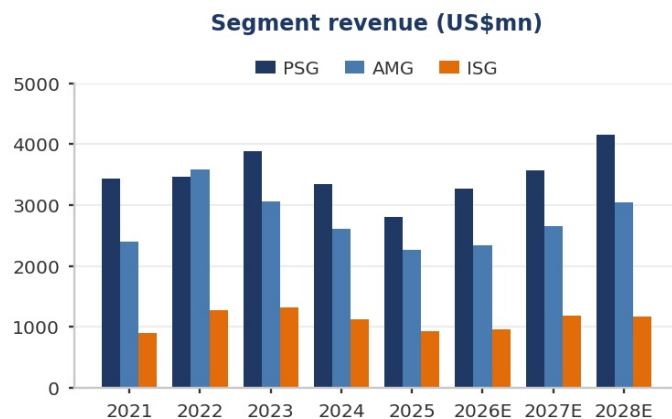


Exhibit 7: Segment Revenue (US\$mn)



Revenue by Operating Segment

Segment	2023	%	2024	%	2025	%	YoY 24-25	Q2 2026 YoY
Power Solutions Group (PSG)	3,880	47%	3,348	47%	2,805	47%	-16.2%	+19%
Analog & Mixed-Signal (AMG)	3,057	37%	2,609	37%	2,262	38%	-13.3%	-2%
Intelligent Sensing (ISG)	1,316	16%	1,125	16%	928	15%	-17.5%	+7%
Total	8,253	100%	7,082	100%	5,995	100%	-15.3%	+9%

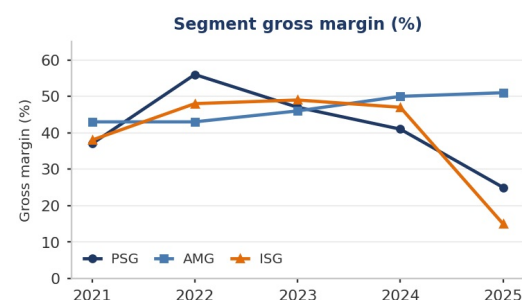
The headline segment mix has been remarkably stable through the downturn — PSG consistently around 47% of revenue, AMG 37–38% and ISG 15–16%. The *quality* of those segments, however, has diverged sharply, and that divergence is the most important thing in the segment data.

PSG is where both the damage and the recovery are concentrated. Its gross margin collapsed from 47% in 2023 to 24.5% in 2025 — the clearest evidence of unabsorbed fixed cost, since PSG carries the heaviest fab loading. It is now the fastest-recovering segment: Q2 2026 revenue of \$829mn was up 19% year-on-year and 13% sequentially on AI data-centre and high-voltage demand, and PSG has already risen to 51.7% of total revenue against its historical ~47%. Because PSG is the most operationally geared segment, it will also deliver the steepest margin recovery.

AMG is the margin anchor. It held gross margins above 50% throughout the downturn (51.1% in 2025), demonstrating that differentiated analog products retain pricing power when discretes do not. Q2 2026 revenue of \$546mn was down 2% year-on-year but up 1% sequentially — a mild recovery. The Treo platform sits inside AMG and is the principal vehicle for structural margin improvement.

ISG is the problem child, and we treat it as such. Gross margin fell to 15.1% in 2025 from 46.7% in 2024 — a far steeper fall than utilisation alone explains, indicating genuine commoditisation in lower-end sensing. Management is repositioning the segment toward ADAS and machine vision. Q2 2026 revenue of \$229mn was up 7% year-on-year, but we model ISG as the slowest-recovering segment and assume no return to its prior margin structure within our forecast horizon.

Exhibit 8: Segment Gross Margin (%)



The divergence between AMG's resilience and the PSG/ISG collapse is the single most informative chart in the segment data. AMG's stability proves the margin problem is utilisation and mix, not pricing across the board.

Revenue by End Market — and How the Mix Shifts

End market	2023	2024	2025	2025 %	2026E %	2028E %	Key driver
Automotive	4,320	3,901	3,081	51%	49%	46%	SiC content, ADAS, zonal architecture; mid-to-high single-digit CAGR on content, not units
Industrial	2,278	1,801	1,675	28%	26%	23%	Energy storage +40% in 2026; factory automation and medical; 5–6% CAGR
Other (incl. AI data centre)	1,655	1,381	1,240	21%	25%	31%	AI data centre more than doubles in 2026; 800V ramp from late 2027
Total	8,253	7,082	5,995	100%	100%	100%	

The most consequential fact in this table is the direction of travel. Automotive falls from 51% of revenue to 46% by 2028E not because it shrinks — it grows every year in our model — but because AI data centre grows faster. This is the fastest mix shift in the company's history, and it progressively reduces ON's sensitivity to the automotive cycle that has defined its equity story for a decade.

Revenue by Technology Stream

ON also reports its revenue by technology stream, which cuts across the operating segments and is the more useful lens for judging the mix shift. Intelligent power represented approximately 50% of 2025 revenue, intelligent sensing 20%, and other technologies — analog, mixed-signal, connectivity and standard products — the remaining 30%.

This split matters because the three streams have very different forward trajectories. Intelligent power is where SiC, GaN and the entire AI data-centre opportunity sit, and it is the stream we expect to grow fastest and to carry the margin recovery. Intelligent sensing is bifurcating: ADAS and machine vision are defensible and growing, while commoditised consumer sensing is the source of the ISG margin collapse and is being deliberately shrunk. "Other technologies" contains both the Treo platform — the single highest-margin growth vector in the portfolio — and the residual standard-product business that has absorbed most of the ~\$900mn of revenue exits since 2021.

The practical consequence is that headline segment growth understates the improvement in revenue quality. Two of the three streams are simultaneously growing at the top and shrinking at the bottom, so reported growth nets off a deteriorating commoditised base against a faster-growing differentiated one. That is why gross margin recovers faster in our model than revenue does.

Revenue by Technology Stream — 2025

Stream	Share	Key products
Intelligent power	50%	SiC MOSFETs and JFETs, IGBTs, GaN, vGaN, power modules
Intelligent sensing	20%	CMOS image sensors, SWIR, photon-counting, machine vision
Other technologies	30%	Analog, mixed-signal, connectivity, standard products, Treo

In Q1 2026 the geographic sales mix on a shipment basis was Asia ex-Japan 53%, Europe 22%, Americas 19% and Japan 6% — a materially different picture from the billing-based geography on page 4, and the better guide to genuine end-market exposure.

Forecast Assumptions

Revenue. We model 2026E revenue of \$6,563mn, up 9.5%, consistent with H1 actuals and Q3 guidance of \$1.65–1.75bn, with growth accelerating to 13.2% in 2027E and 12.8% in 2028E. The build is bottom-up: automotive growing mid-single digits on content expansion and China SiC share; industrial recovering 5–7% on energy infrastructure and factory automation; and the "other" category — predominantly AI data centre — compounding at approximately 28% as it scales from ~\$500mn to over \$2bn of annual run-rate by 2030. Our 2028E revenue of \$8,378mn returns the company to roughly its 2022–23 peak, five years later.

Margins. Gross margin rebuilds from 38.4% in 2025 to 40.3% in 2026E, 43.7% in 2027E and 46.3% in 2028E. Roughly 460bps of the recovery is utilisation reversal, with the balance from FabRight, the Tarlac and Mountain Top divestitures and product mix. We deliberately stop 700bps short of management's 53% target. EBITDA margin dips marginally in 2026E to 29.5% — depreciation remains elevated at \$704mn before stepping down — then expands to 36.7% by 2028E.

Earnings basis. All figures below are presented on an adjusted (non-GAAP) basis excluding the \$496mn of manufacturing-equipment impairment and related one-off charges recognised in 2025. Reported GAAP net income for 2025 was \$121mn, or \$0.29 per share. We regard the adjusted figures as the correct basis for forward valuation, but readers should note that the gap between the two in 2025 is unusually wide.

Income Statement	(US\$m)					
Particulars	2023	2024	2025	2026E	2027E	2028E
Revenue	8,253	7,082	5,995	6,563	7,426	8,378
COGS	4,368	3,860	3,690	3,917	4,180	4,496
Gross Profit	3,885	3,222	2,305	2,646	3,246	3,882
Gross margin (%)	47.1%	45.5%	38.4%	40.3%	43.7%	46.3%
Research & development	577	613	584	594	620	658
General & administrative	362	376	349	355	371	393
Selling & marketing	279	274	256	260	272	289
Operating expenses	1,219	1,263	1,188	1,209	1,262	1,340
Operating income (EBIT)	2,667	1,960	1,117	1,444	2,008	2,572
D&A	610	643	686	704	585	466
EBITDA	3,275	2,617	1,806	1,936	2,517	3,077
EBITDA margin (%)	39.7%	36.9%	30.1%	29.5%	33.9%	36.7%
Other expense / (income)	24	(90)	(70)	(79)	(81)	(78)
Net interest expense / (income)	(18)	(49)	(24)	(27)	(36)	(44)
Pre-tax income	2,680	2,031	1,154	1,494	2,067	2,614
Tax	424	327	187	228	319	401
Effective tax rate (%)	15.8%	16.1%	16.2%	15.3%	15.4%	15.3%
Net income (adjusted)	2,256	1,705	966	1,265	1,748	2,214
EPS — diluted (\$)	4.5	3.8	2.3	3.2	4.4	5.6

Exhibit 9: Revenue & YoY Growth

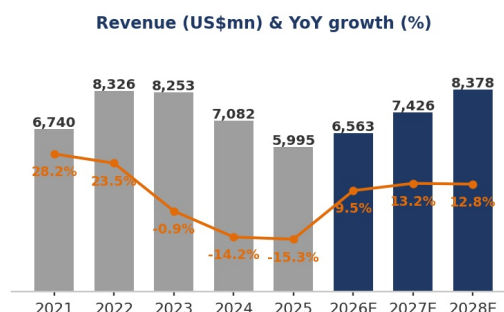
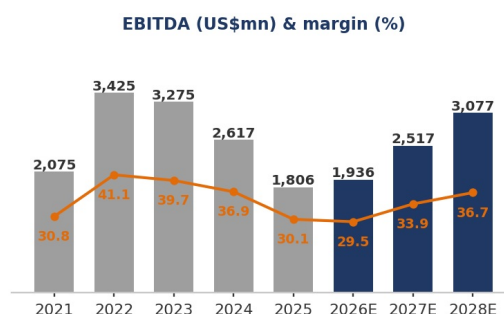


Exhibit 10: EBITDA & Margin



Key Model Assumptions

Assumption	2025A	2026E	2027E	2028E	Basis
Automotive revenue growth	-21.0%	+4.3%	+8.1%	+10.7%	Content per vehicle, China SiC share gains and Rivian R2; not unit volume growth
Industrial revenue growth	-7.0%	+0.8%	+5.9%	+9.8%	Energy storage +40% in 2026, offset by continued weakness in traditional industrial
Other (incl. AI DC) growth	-10.2%	+34.1%	+30.2%	+18.7%	AI data centre from ~\$250mn to above \$500mn in 2026 and above \$1bn in 2027
Gross margin	38.4%	40.3%	43.7%	46.3%	Utilisation reversal (~460bps), FabRight, fab divestitures and product mix
Operating expenses growth	-5.9%	+1.8%	+4.4%	+6.2%	Opex grows well below revenue, delivering SG&A and R&D leverage
D&A	686	704	585	466	Steps down from 2027 as the SiC capital build fully depreciates and fabs are divested
Capital expenditure	341	181	337	369	Maintenance levels; the heavy investment cycle is complete
Effective tax rate	16.2%	15.3%	15.4%	15.3%	In line with the recent historical range; no change in tax structure assumed
Share repurchases (\$mn)	1,407	1,317	1,333	1,624	Approximately 100% of free cash flow under the \$6bn authorisation
Synaptics contribution	—	—	—	—	Excluded entirely from revenue, costs and share count

The two assumptions our forecasts are most sensitive to are the gross margin path and the AI data-centre ramp. A 200bps miss on 2028E gross margin reduces EBITDA by roughly \$170mn; AI data-centre revenue landing at \$750mn rather than above \$1bn in 2027 reduces revenue by approximately 3.5% and, at ~50% incremental gross margin, EBITDA by roughly \$125mn. Neither alone breaks the investment case; together they produce our bear scenario.

Balance Sheet (US\$mn)						
Particulars	2023	2024	2025	2026E	2027E	2028E
Cash & cash equivalents	2,483	2,991	2,548	3,781	4,811	5,001
Accounts receivable	935	1,160	908	1,003	1,134	936
Inventory	2,112	2,242	1,990	1,990	1,958	1,576
Other current assets	382	359	353	470	500	370
Total current assets	5,912	6,752	5,798	7,245	8,403	7,884
Property, plant & equipment	4,402	4,361	3,369	2,870	2,823	2,646
Goodwill & intangibles	1,877	1,846	2,024	2,017	2,017	2,017
Deferred tax assets	601	730	929	1,018	1,038	1,189
Other non-current assets	381	360	356	261	288	—
Total non-current assets	7,261	7,297	6,678	6,166	6,166	5,852
Total assets	13,173	14,049	12,476	13,411	14,569	13,735
Accounts payable	726	575	572	535	575	525
Accrued expenses	663	760	715	912	991	738
Current portion of long-term debt	794	—	—	802	870	1,151
Total current liabilities	2,183	1,335	1,287	2,250	2,437	2,414
Long-term debt	2,543	3,346	2,981	3,672	3,484	2,058
Deferred tax & other liabilities	647	555	517	499	509	488
Total non-current liabilities	3,189	3,900	3,497	4,171	3,993	2,546
Shareholders' equity	7,783	8,796	7,673	7,195	8,068	11,454
Minority interest	18	18	19	20	21	22
Total equity	7,801	8,815	7,692	7,215	8,089	11,477

Cash Flow Statement (US\$mn)						
Particulars	2023	2024	2025	2026E	2027E	2028E
Cash flow from operations	1,978	1,906	1,760	1,643	2,336	2,378
Capital expenditure	(1,576)	(694)	(341)	(181)	(337)	(369)
Cash flow from investing	(1,738)	(1,010)	(539)	(155)	(368)	(363)
Repurchase of common stock	(631)	(705)	(1,407)	(1,317)	(1,333)	(1,624)
Cash flow from financing	(687)	(684)	(1,764)	(63)	(1,467)	(1,899)
Net increase / (decrease) in cash	(447)	213	(543)	1,425	501	116
Free cash flow	402	1,212	1,419	1,462	1,999	2,009

Exhibit 11: Free Cash Flow & FCF Margin

Free cash flow (US\$mn) & FCF margin (%)

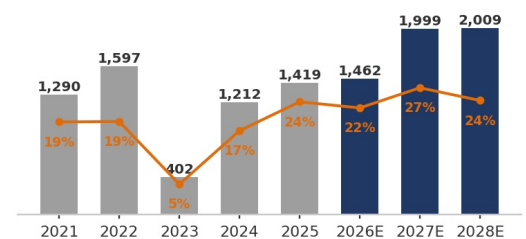
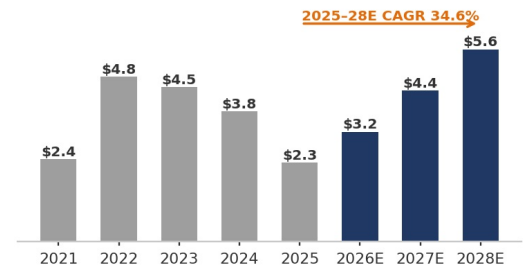


Exhibit 12: Adjusted EPS

Adjusted EPS (US\$)



Key Financial Ratios

Ratio	2025A	2026E	2027E	2028E
Gross margin (%)	38.4%	40.3%	43.7%	46.3%
EBITDA margin (%)	30.1%	29.5%	33.9%	36.7%
EBIT margin (%)	18.6%	22.0%	27.0%	30.7%
PAT margin (%)	16.1%	19.3%	23.5%	26.4%
Return on equity (%)	12.6%	17.6%	21.7%	19.3%
Return on capital employed (%)	10.0%	12.9%	16.6%	22.7%
Effective tax rate (%)	16.2%	15.3%	15.4%	15.3%
Capex (% of sales)	5.7%	2.8%	4.5%	4.4%
Free cash flow (\$mn)	1,419	1,462	1,999	2,009
FCF margin (%)	23.7%	22.3%	26.9%	24.0%
Net debt (\$mn)	433	693	(457)	(1,792)
Net debt / EBITDA (x)	0.2x	0.4x	Net cash	Net cash
Inventory days	197	185	171	128

Net debt at 2026E of \$693mn (used in our valuation as \$706mn including the deferred tax component) turns to net cash by 2027E as free cash flow builds and the current debt maturity is retired.

The balance sheet is not a constraint. Net debt of approximately \$0.7bn against 2026E EBITDA of \$1.94bn is 0.4x — comfortable for a company generating over \$1.4bn of annual free cash flow at the bottom of its cycle. A \$1.1bn undrawn revolving credit facility provides additional headroom. The company has also issued \$1.3bn of 0% convertible senior notes, extending its maturity profile at negligible coupon cost — though this is the principal source of the gap between basic and fully diluted share count.

Reading the Cash Flow Statement

The cash flow statement tells the clearer story of the last five years. Operating cash flow has been remarkably stable — between \$1.76bn and \$2.63bn every year since 2021, including through a 28% revenue decline. What moved was investment. Capex peaked at \$1,576mn in 2023, roughly 19% of sales, as the SiC capacity build and the East Fishkill 300mm ramp ran concurrently, which is why free cash flow collapsed to \$402mn that year despite \$1.98bn of operating cash flow. That was the cost of the strategy, and it was incurred deliberately.

By 2025 capex had fallen 78% to \$341mn and free cash flow had recovered to \$1,419mn — the highest of the five years, achieved in the worst revenue year of the cycle. That combination is the single strongest piece of evidence for the quality of the underlying business: a company that generates a 23.7% free cash flow margin at the bottom of its cycle does not have a structural problem.

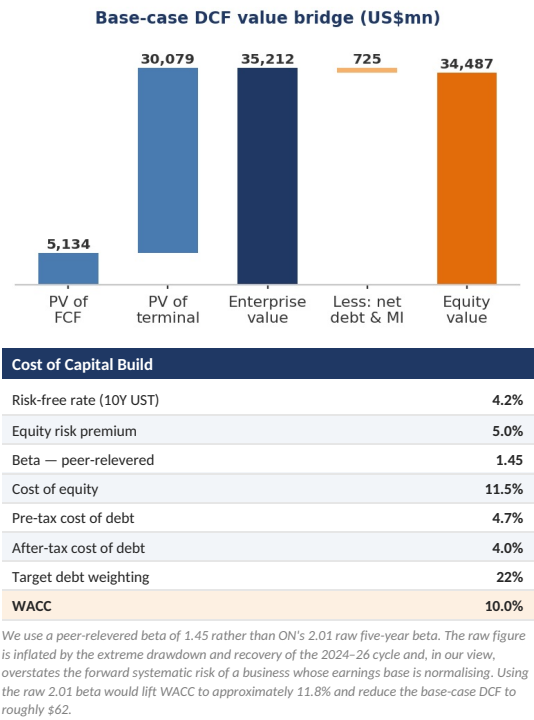
Financing tells the third part. Buybacks stepped up from \$631mn in 2023 to \$1,407mn in 2025 as the investment cycle closed, and we model \$1.3–1.6bn annually through 2028 under the \$6bn authorisation. The 2026E financing outflow of just \$63mn reflects the \$1.3bn convertible note issuance offsetting repurchases; it is a maturity-management transaction rather than a change in capital-return policy.

We value ON using a blended framework that weights a discounted cash flow analysis and a comparable-company analysis equally, and then probability-weights three scenarios. We use both because each corrects a weakness in the other. The DCF anchors value to cash generation but, with a compressed three-year explicit window on a business emerging from a cyclical trough, it is highly sensitive to terminal assumptions. Comparables capture how the market is currently pricing the peer set but inherit whatever mispricing exists across the sector — and this sector currently contains multiples ranging from 8.7x to 40.9x EV/EBITDA.

Discounted Cash Flow — Base Case			(US\$mn)	
Particulars	2026E	2027E	2028E	
EBIT	1,444	2,008	2,572	
Less: cash taxes	(221)	(309)	(393)	
Effective tax rate	15.3%	15.4%	15.3%	
Add: D&A	704	585	466	
Less: capital expenditure	(181)	(337)	(369)	
Less: increase in net working capital	(133)	(59)	529	
Unlevered free cash flow	1,614	1,887	2,804	
Discount factor @ 10.0%	0.909	0.826	0.751	
Present value of FCF	1,467	1,560	2,107	
WACC	10.0%	Terminal growth rate		2.8%
Sum of PV of explicit FCF	5,134	Terminal value		40,035
PV of terminal value	30,079	TV as % of EV		85.4%
Enterprise value	35,212	Less: net debt		(706)
Less: minority interest	(19)	Diluted shares (mn)		435
Equity value	34,487	Implied share price		\$79.3

Terminal value represents 85% of enterprise value — high, and a direct consequence of a three-year explicit window applied to a business whose earnings are still normalising. This is the single largest limitation of our DCF and the reason we weight comparables equally rather than relying on intrinsic valuation alone.

Exhibit 13: Base-Case DCF Value Bridge



DCF Sensitivity — Implied Share Price (\$)

The table holds our explicit 2026E–2028E free cash flow forecasts constant and flexes only the discount rate and the terminal growth assumption. The shaded cell is our base case.

WACC \ Terminal growth	1.8%	2.3%	2.8%	3.3%	3.8%
9.0%	80.7	86.4	92.9	100.6	109.7
9.5%	75.2	80.0	85.6	92.0	99.7
10.0%	70.3	74.5	79.3	84.8	91.2
10.5%	65.9	69.6	73.8	78.6	84.0
11.0%	62.1	65.3	69.0	73.1	77.9

The DCF supports the current share price of \$72.61 across almost the entire plausible range of inputs, but on its own it does not reach our \$84.50 target at any WACC above ~9.7% on base-case terminal growth. This is why we weight comparables equally, and it is the principal reason we describe our target as offering a margin of safety rather than a stretch outcome.

Reverse DCF — What Is Priced In Today

Holding our WACC at 10.0% and our 2026E–2028E free cash flow forecasts unchanged, the current share price of \$72.61 is consistent with a terminal growth rate of approximately 2.1% — below expected long-run US nominal GDP growth. Put differently, the market is pricing ON to grow more slowly than the economy in perpetuity, at the end of an explicit forecast period in which its own free cash flow rises 42%.

An alternative reading is that the market accepts our cash flows and our terminal growth but demands a higher discount rate: the price is equally consistent with a WACC of approximately 10.7% at 2.8% terminal growth. That is a defensible position — it is roughly what one gets by using ON's raw beta rather than a peer-relevered one — and it is why we do not rest the investment case on the DCF alone.

What the current price is not consistent with is our forecast set combined with a peer-average cost of capital. For the shares to be fairly valued on that basis, 2028E free cash flow would need to be approximately \$2.3bn rather than the \$2.8bn we model — a shortfall of roughly 18%, which would require either the gross margin bridge to deliver only half of what management has identified, or revenue to grow at closer to 7% than the 12% we forecast.

Limitations We Would Flag

Three caveats attach to this analysis and we would rather state them than bury them. First, terminal value is 85% of enterprise value — a direct consequence of a three-year explicit window, and the reason a 50bps change in WACC moves the implied price by roughly \$5. Second, ON is a cyclical business and any DCF that terminates at a point in the cycle embeds a judgement about whether that point is normal; our 2028E EBITDA margin of 36.7% sits between the 2022 peak of 41.1% and the 2025 trough of 30.1%, which we regard as a reasonable mid-cycle anchor. Third, we exclude Synaptics entirely, so the DCF values a company that will not exist in this form beyond mid-2027.

What the Current Price Implies	
Current price	\$72.61
Implied terminal growth (at 10.0% WACC)	~2.1%
Implied WACC (at 2.8% terminal growth)	~10.7%
Implied 2028E FCF (at base WACC and TGR)	~\$2.3bn
Our 2028E FCF forecast	\$2.8bn
Implied shortfall	~18%
A note on share count. ON's reported market capitalisation of \$28.3bn reflects approximately 389mn basic shares. We divide equity value by 435mn fully diluted shares, incorporating the \$1.3bn of 0% convertible senior notes and outstanding equity awards. This is deliberately conservative — using the basic count would raise our DCF-implied price by roughly \$9 per share. Market-based multiples quoted elsewhere in this report use the reported market capitalisation, as is conventional.	

Exhibit 14: Peer Set — Operating & Valuation Metrics								(US\$mn, FY2025)
Company	Market cap	Revenue	EPS (\$)	FCF margin	P/E (x)	EV/EBITDA (x)	EV/Sales (x)	
ON Semiconductor	28,270	5,995	2.3	23.7%	31.6x	15.9x	4.8x	
NXP Semiconductors	56,450	12,269	11.8	19.8%	19.5x	13.6x	5.3x	
Analog Devices	175,310	11,020	7.8	38.8%	32.3x	18.2x	10.9x	
Monolithic Power Systems	61,740	2,790	17.8	23.9%	77.0x	40.9x	15.4x	
Semtech	12,240	1,050	1.7	16.3%	61.4x	33.6x	7.4x	
Skyworks Solutions	9,900	4,090	5.9	27.1%	13.1x	8.7x	2.8x	
Sector average	57,318	6,202	7.9	24.9%	38.0x	21.4x	7.6x	
Sector median	42,360	5,043	6.9	23.8%	28.6x	15.9x	6.3x	

Peer multiples are as screened on FY2025 reported financials; ON's own multiples are recomputed on our adjusted FY2025 figures and its 28-Aug-2026 market capitalisation for consistency. We apply the sector median rather than the mean throughout, because Monolithic Power (40.9x EV/EBITDA, 77.0x P/E) and Semtech (33.6x, 61.4x) distort the average beyond usefulness — the mean EV/EBITDA of 21.4x exceeds four of the six constituents. Sector average and median exclude ON.

What the Peer Set Actually Tells Us

We want to be precise here, because the superficial read of this table is wrong. ON does not screen as cheap. At 15.9x trailing EV/EBITDA it sits exactly on the sector median, and at 31.6x trailing earnings it is more expensive than NXP, Skyworks and Analog Devices. Anyone buying ON on the argument that it is statistically cheap today is misreading the numbers.

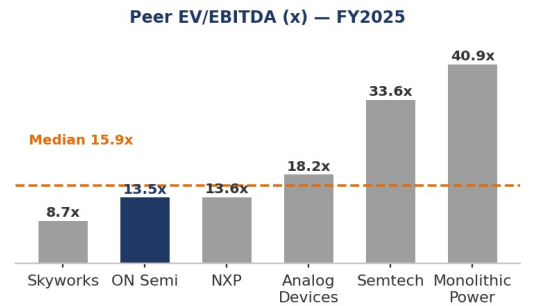
The argument is about the denominator, not the multiple. ON's trailing EBITDA of \$1,806mn was earned at an average utilisation in the low-to-mid 70s with roughly 900bps of unabsorbed fixed cost in cost of goods, and after a 28% peak-to-trough revenue decline. No other name in this peer set is being measured against a comparably depressed base — NXP, ADI and Skyworks are all closer to mid-cycle. Holding the median 15.9x constant and rolling forward to our 2027E EBITDA of \$2,517mn, ON trades at 11.0x.

The most instructive comparison is NXP at 13.6x. NXP is larger, higher-margin and more stable, and on trailing numbers it deserves to trade close to ON. On forward numbers it does not: we expect ON's EBITDA to grow 70% over three years against a materially flatter trajectory at NXP. Against Analog Devices at 18.2x we do not argue for parity — ADI's ~68% gross margin and superior returns justify a premium ON has never earned. Our claim is narrower: a business at the inflection of a genuine earnings recovery should not be valued on trough earnings at the same multiple as peers being valued on normal ones.

Cross-Check: What the Current Price Implies

Reversing the framework is a useful discipline. At \$72.61, ON's enterprise value against our 2027E EBITDA of \$2,517mn implies 11.0x — below every name in the peer set except Skyworks. For ON to be correctly valued there, one of two things must be true: either the margin recovery we model does not happen, or the AI data-centre ramp that management has already guided to and partially delivered fails to scale. Our target does not require ON to re-rate to ADI's multiple. It requires only that the market stop applying a trough multiple to earnings that are no longer at the trough.

Exhibit 15: Peer EV/EBITDA (x)



Implied Valuation — Comparables		FY2026E
EV/EBITDA approach		
FY2026E EBITDA (\$mn)		1,936
Sector median EV/EBITDA		15.9x
Implied enterprise value		30,782
Less: net debt & minorities		(725)
Implied equity value		30,057
Implied price per share		\$69.1
P/E approach		
FY2026E EPS (\$)		3.19
Sector median P/E		28.6x
Implied price per share		\$91.2
EV/Sales approach		
FY2026E revenue (\$mn)		6,563
Sector median EV/Sales		6.3x
Implied enterprise value		41,347
Less: net debt & minorities		(725)
Implied price per share		\$93.4
Average of three approaches		\$84.6

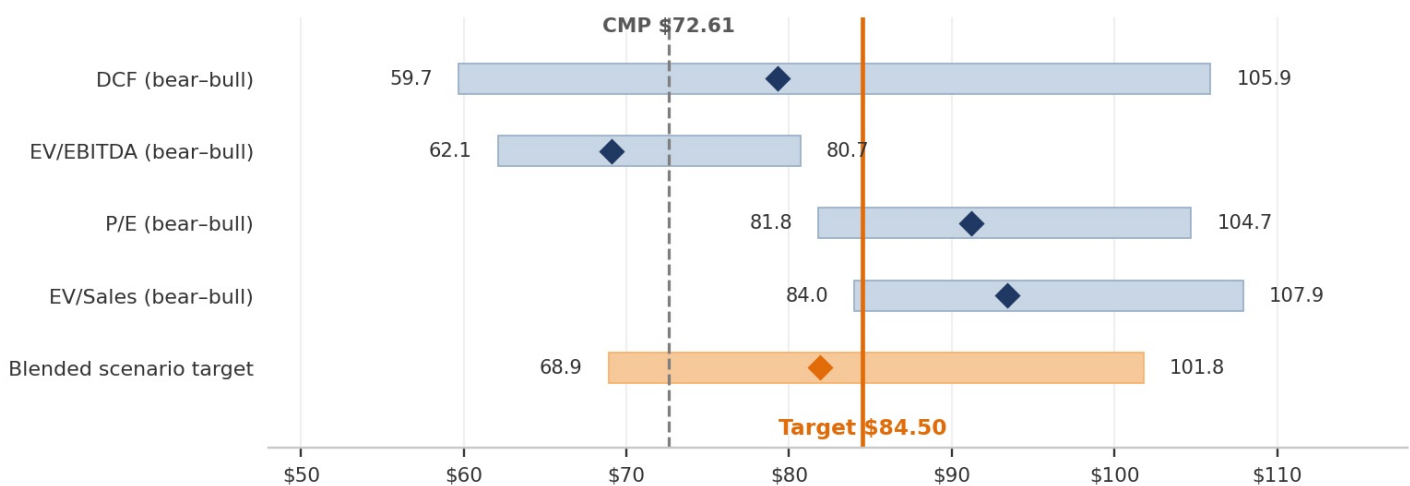
We apply peer trailing multiples to our FY2026E estimates. With four months of FY2026 remaining, this is the appropriate basis for a 12-month target: it values ON where it should trade once FY2026 is in the reported base.

The three comparable approaches disagree by a wide margin — \$69.1, \$91.2 and \$93.4 — and the spread is itself informative. EV/EBITDA is the most demanding because ON's 2026E EBITDA margin of 29.5% is still depressed by under-absorbed fixed cost. EV/Sales is the most generous, and deliberately so: applying a peer median EV/Sales multiple to a company whose margin is temporarily below the peer set embeds the margin recovery. We average all three rather than selecting, because choosing one would amount to choosing an answer.

Exhibit 16: Scenario Analysis

Parameter	Bear	Base	Bull
DCF drivers			
2025–28E FCF CAGR	14.3%	16.3%	18.3%
2028E unlevered FCF (\$mn)	2,661	2,804	2,950
WACC	11.3%	10.0%	9.0%
Terminal growth rate	2.3%	2.8%	3.3%
DCF implied price (\$)	59.7	79.3	105.9
Comparables drivers (applied to FY2026E)			
EBITDA (\$mn) / median multiple	1,838 / 15.1x	1,936 / 15.9x	2,089 / 17.2x
EV/EBITDA implied price (\$)	62.1	69.1	80.7
EPS (\$) / median multiple	3.02 / 27.1x	3.19 / 28.6x	3.40 / 30.8x
P/E implied price (\$)	81.8	91.2	104.7
Revenue (\$mn) / median multiple	6,230 / 5.98x	6,563 / 6.3x	7,008 / 6.8x
EV/Sales implied price (\$)	84.0	93.4	107.9
Comparables average (\$)	76.0	84.6	97.8
Blended value (50% DCF, 50% comparables)	68.9	81.9	101.8
Probability weight	10%	70%	20%

Exhibit 17: Valuation Football Field — Implied Share Price Range (\$)



Diamonds mark base-case outcomes; bars span the bear-to-bull range for each methodology.

Why We Are Comfortable With These Scenario Weights

We assign 70% probability to the base case, 20% to the bull and only 10% to the bear. That asymmetry is deliberate and rests on what each scenario actually requires.

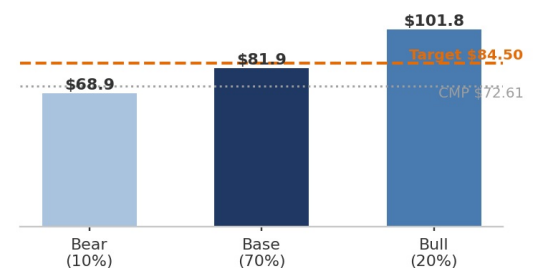
The bear case requires the recovery to stall after it has already started — automotive and industrial re-weakening, AI revenue disappointing against guidance management has already raised once, and Chinese SiC competition compressing both share and price. At \$68.9 blended, that outcome sits only 5% below the current price, which tells us the market is already discounting much of it. We regard it as possible but unlikely given four consecutive quarters of margin expansion, 83% utilisation, 32-week SiC lead times and customers booking into 2028.

The base case is simply the current trajectory continuing. It requires no acceleration beyond guidance already given: 9–13% revenue growth, gross margin reaching 46.3% by 2028 (still 700bps below management's target), and AI data centre scaling to roughly 20% of revenue. Every component is either already guided or already partially delivered.

The bull case requires all three vectors firing simultaneously — AI data centre, automotive SiC and industrial — with margin expansion running toward the 53% ambition. We cap it at 20% because it depends on the 800V transition arriving on schedule, which is set by hyperscaler roadmaps rather than by ON.

Exhibit 18: Blended Value by Scenario

Blended value by scenario (US\$/share)



Price Target Derivation

Bear case (\$68.9) × 10%	6.89
Base case (\$81.9) × 70%	57.35
Bull case (\$101.8) × 20%	20.36
12-month target price	\$84.50
CMP (28-Aug-2026)	\$72.61
Upside	16.4%

Our target implies 26.5x FY2026E and 19.2x FY2027E adjusted earnings, and 17.3x FY2026E and 12.9x FY2027E EV/EBITDA — a modest premium to the 15.9x peer median on the current year, converting to a clear discount on 2027 estimates as earnings normalise.

Rating rationale. Our expected 12-month total return of 16.4% clears the 15% BUY threshold on our scale. Absent an increase in estimates we would move to ACCUMULATE above ~\$73.5 and to HOLD above ~\$80.5.

1. Chinese Silicon Carbide Competition and Industry Oversupply

This is the most consequential risk to our thesis. China is pursuing SiC localisation as national industrial policy, and Chinese producers are adding capacity aggressively. Industry SiC supply is estimated to grow at approximately a 51% CAGR against roughly 45% demand growth through 2030 — a structural oversupply gap that will compress pricing. ON is already making tactical price concessions in SiC to defend share. If that discipline breaks into broad-based price cutting, the margin bridge on which our entire earnings recovery rests fails, and the bear case becomes the base case.

Mitigation: The pressure is concentrated in commoditised, lower-voltage products, and ON has spent five years exiting exactly that exposure. Its total SiC solutions are 10–15% more efficient than Infineon's and STMicroelectronics', with a wider gap against local Chinese products, and it holds LTSAs with four of the top five Chinese OEMs. China automotive revenue grew 13% in H1 2026 against a flat vehicle market — the localisation narrative is not yet visible in ON's actual China numbers.

2. Automotive Concentration and EV Adoption Timing

Automotive represents 51% of revenue, and ON carries more EV-linked content per vehicle than most peers because of its SiC and power weighting. A renewed downturn in global vehicle production, or a slower EV adoption curve, hits ON harder than a diversified analog peer. Rollbacks of US EV incentives present a near-term headwind to North American SiC adoption specifically, and higher interest rates raise the cost of capital for both EV manufacturers and industrial electrification customers.

Mitigation: Growth is driven by content per vehicle rather than unit volumes — automotive revenue grew ~70% over five years against flat global SAAR. Design wins carry 7+ year lifecycles, and the end-market mix is actively diversifying, with automotive falling from 51% of revenue in 2025 to 46% by 2028E as AI data centre scales.

3. AI Data-Centre Expectations Are Now Embedded in the Multiple

Management has raised AI guidance once already, from "doubling" to "more than doubling", and the equity market has capitalised that trajectory. The 800V architecture transition — the largest single content expansion in the story, worth roughly 7.7x content per rack — is expected from late 2027 or early 2028, and the timing is set by hyperscaler roadmaps, not by ON. Slippage of even two quarters would push the largest revenue step outside our forecast window and would likely be punished disproportionately given how much of the recent share-price volatility has tracked AI sentiment. There is also architectural risk: if hyperscalers adopt a different power-delivery topology, ON's content opportunity shifts.

Mitigation: The near-term ramp rests on secured design wins — NVIDIA MGX, AWS PSU and BBU, majority SiC JFET share with a large US hyperscaler, two Great Wall platforms — rather than on pipeline. Our base case assumes AI reaches ~20% of revenue by 2028, below the trajectory implied by management's 2030 framework.

4. Operating Leverage Cuts Both Ways

The vertically integrated model that generates ~50% incremental gross margin in an upcycle is precisely what destroyed margins in the downcycle: at low utilisation, roughly 900bps of unabsorbed fixed cost flowed straight through cost of goods, and the company took a \$496mn impairment on manufacturing equipment in 2025. Management's previously stated ~45% gross margin floor was breached in 2025 (actual 38.4%), which is a genuine mark against guidance credibility that investors are entitled to weigh.

Mitigation: Utilisation has recovered to 83% from a low-60s trough, capex has fallen to maintenance levels, and the FabRight divestitures structurally reduce the fixed-cost base. The floor that was breached was set on a manufacturing footprint 12% larger than today's.

5. Synaptics Integration and Dilution

The \$7bn all-stock acquisition reintroduces consumer end-market exposure that ON deliberately reduced over five years, adds integration complexity during an incomplete recovery, and creates dilution sensitivity if ON shares remain under pressure between announcement and a mid-2027 close. Accretion is guided within 18 months of closing on ~\$200mn of synergies, but that assumes clean execution while management is simultaneously running a margin-recovery programme and an AI capacity ramp.

Mitigation: FTC clearance was obtained in August 2026, removing the principal regulatory uncertainty. **Our estimates and target price exclude Synaptics entirely**, so the deal is a source of upside to our numbers rather than a support for them.

6. Geographic and Channel Concentration

Hong Kong alone accounted for 27% of 2025 billed revenue and Singapore a further 21%, creating material exposure to US–China trade policy, export controls and tariff escalation. Separately, distributors represent approximately 54% of revenue and a single distributor was ~11% of 2025 revenue — meaningful channel concentration that could transmit an inventory correction rapidly.

Mitigation: Billing geography overstates end-market concentration; on a shipment basis the Q1 2026 mix was Asia ex-Japan 53%, Europe 22%, Americas 19% and Japan 6%. Channel inventory at 10.1 weeks sits inside the 9–11 week target range, limiting the scope for a repeat destocking shock.

7. Technology Substitution From Within

ON's own vGaN platform could cannibalise its higher-margin SiC portfolio if customers adopt GaN in applications currently served by SiC. Rapid technological change in power semiconductors also demands continuous R&D; a missed generation would be costly given 7-year design cycles. Prioritising AI data-centre shipments over automotive and industrial while supply rebalances risks straining relationships with long-standing customers in those segments.

Mitigation: Owning both technologies means ON captures the content either way — self-cannibalisation is preferable to displacement by a competitor. vGaN and SiC target substantially different voltage and power-density points, limiting direct overlap.

8. Execution Risk on the Margin Bridge

Reaching management's 53% gross margin ambition requires roughly 25% revenue growth from current levels to approach full utilisation, alongside simultaneous delivery on FabRight savings, the fab divestitures and the Treo/SiC/vGaN mix shift. Our 46.3% 2028E forecast is deliberately below that, but even our number requires three of the four levers to work. A 200bps miss against our 2028E gross margin reduces EBITDA by approximately \$170mn and, at the peer median multiple, roughly \$6 per share of comparables-derived value.

9. Supplier Dependency and Input Cost Inflation

ON depends on a limited number of specialised third-party suppliers for critical materials, and qualifying replacements is slow and costly. A second round of price increases is being implemented across all markets to offset input cost inflation, with no relief expected in 2027; if those cannot be passed through in competitive segments they compress margin directly.

10. Design-Out Risk and Long Qualification Cycles

The same 7+ year design cycles that protect incumbent revenue work against ON when it loses a socket. Being designed out of a major platform creates a multi-year revenue gap recoverable only at the next platform generation, and the loss is typically invisible in reported numbers for several quarters before it appears.

Risk Summary Matrix			
Risk	Likelihood	Impact	Reflected in
Chinese SiC pricing / oversupply	High	High	Bear case revenue and margin assumptions
Automotive demand re-weakening	Medium	High	Bear case; 10% probability weight
800V transition slippage	Medium	Medium	Excluded from base case beyond 2028
Margin bridge under-delivery	Medium	High	We model 700bps below management target
Synaptics integration	Medium	Medium	Excluded entirely from estimates
Geographic / channel concentration	Low	Medium	Standing exposure; not modelled separately
vGaN cannibalisation of SiC	Low	Low	ON captures content either way
Risk summary. The dominant risks, in order: Chinese SiC pricing pressure; automotive demand re-weakening before AI reaches scale; 800V slippage. All are in our 10%-weighted bear case at \$68.9.			

Management Track Record

Hassane El-Khoury has been President and CEO since early 2021. The Board separates the CEO and Chair roles and El-Khoury is the only non-independent director — a governance structure we regard as appropriate for a company midway through a strategic transformation.

He inherited a business with sub-40% gross margins and a commoditised product mix. Over five years he has executed a deliberate repositioning toward intelligent power and sensing, built through both organic investment and targeted M&A: GT Advanced Technologies for SiC crystal growth, SWIR Vision Systems for sensing, Qorvo's SiC JFET business, Vcore Power Technology for AI data-centre power management, and now Synaptics.

What has been delivered

- Gross margin expanded from below 40% pre-2021 to a 49.2% peak in 2022.
- SiC revenue grew from near zero to a \$1bn annual run-rate by H2 2024, making ON the #2 global supplier.
- Automotive revenue grew ~70% over five years against flat global vehicle production — entirely content and share.
- The long-term capex target (mid-single-digit % of revenue) was reached ahead of schedule.
- ~\$900mn of low-margin annual revenue was deliberately exited, with the programme now complete.

Where criticism is warranted

- The stated ~45% gross margin floor was breached in 2025 at 38.4%, damaging guidance credibility.
- The automotive inventory correction ran longer at ON than at comparable analog peers — de-stocking completed later, which cost the company a year of relative performance.
- The Synaptics acquisition is a larger, less incremental step than peers' portfolio moves, and it arrives before the core recovery is finished.

Executive compensation is tied to revenue, non-GAAP operating margin and new-product revenue — metrics aligned with the transformation. The 2023 performance-based RSU programme paid out at 151% of target, with new-product revenue at 189% of goal.

What Would Change Our View

Signal	Implication
Upgrade toward the bull case	AI data-centre revenue tracking meaningfully above the \$500mn 2026 guide; first disclosed 800V design wins with named hyperscalers; gross margin exiting 2026 above 42%; SiC share gains extending to a second North American OEM beyond Rivian; Treo revenue crossing \$250mn annualised; constructive long-term targets at the 16 September Analyst Day.
Downgrade toward the bear case	Book-to-bill falling below 1.0x or SiC lead times compressing sharply; broad-based rather than tactical SiC price cuts; gross margin failing to expand sequentially in Q3 or Q4 2026; channel inventory pushing above 11 weeks; ISG margin failing to recover from 15.1%; a materially dilutive revision to Synaptics deal terms.

Capital Allocation Track Record

Period	Priority	Actions and outcome
2021–23	Build the SiC franchise	GT Advanced Technologies acquired for crystal-growth integration; capex peaked at \$1,576mn in 2023 (19% of sales); East Fishkill 300mm ramp begun. Free cash flow fell to \$402mn in 2023 as a direct consequence — the cost of the strategy.
2023–25	Rationalise and retrench	~\$900mn of low-margin revenue exited; footprint cut 12%; Tarlac and Mountain Top divestitures agreed; capex reduced 78% to \$341mn. Free cash flow recovered to \$1,419mn despite the worst revenue year of the cycle.
2025–26	Return capital	~\$1.4bn repurchased in 2025, approximately 100% of free cash flow; \$6bn authorisation announced November 2025 covering roughly 21% of shares outstanding; \$1.3bn of 0% convertible notes issued to extend maturities at negligible coupon cost.
2026–27	Expand the platform	Vcore Power Technology acquired for AI data-centre power management; Synaptics agreed at ~\$7bn in all stock, FTC clearance obtained August 2026, close expected mid-2027.

The pattern is coherent and, in our judgement, well-sequenced: invest heavily into a technology transition, prune the portfolio while demand is weak, then return capital once the investment cycle completes. The single criticism we would make is timing — committing to a \$7bn acquisition before the core margin recovery is finished asks investors to underwrite two things at once.

The 16 September 2026 Analyst Day is the single most important near-term event. We expect updated long-term financial targets, a post-Synaptics TAM and margin framework, and a detailed 800V content roadmap through 2030. Given how much of the current valuation debate turns on the pace of the AI ramp and the credibility of the 53% gross margin ambition, this is the event most likely to resolve the dispersion in published estimates.

Governance and Incentive Alignment

The Board separates the CEO and Chair roles, and El-Khoury is the only non-independent director — a structure we regard as appropriate for a company midway through a transformation, because it preserves independent oversight of exactly the capital-allocation decisions that define the outcome.

Executive compensation is tied to revenue, non-GAAP operating margin and new-product revenue. Those are the right three metrics for this strategy: the first prevents margin optimisation at the expense of growth, the second prevents growth at any cost, and the third funds the Treo, SiC and vGaN platforms that constitute the long-term case. The 2023 performance-based RSU programme paid out at 151% of target, with new-product revenue reaching 189% of goal and non-GAAP operating margin 116%.

The criticism we would make is that the metric set contains no explicit return-on-capital measure. For a business that spent \$3.3bn of capex between 2021 and 2024 building SiC capacity, and then impaired \$496mn of manufacturing equipment in 2025 when demand shifted, a return-on-invested-capital gate would have been an appropriate discipline. Capex has since fallen to maintenance levels, which reduces the practical significance of this gap, but it would matter again if the company re-entered an investment cycle.

Growth Strategy — Six Vectors	
Vector	Ambition
AI data-centre power	Full power tree from grid to processor. Content per rack from ~\$15k to ~\$115k by 2030 as 800V DC architectures are adopted. TAM ~\$47.5bn by 2030.
Silicon carbide	30–40% global share by 2027 from ~22–25% today. China EV platform ramps (60–70% SiC growth in 2026), Rivian R2 in North America, European OEM traction inverter wins.
Vertical GaN	40V–1,200V GaN-on-GaN, 130+ patents, sole supplier sampling at scale. 30+ products launching in 2026; \$1.5bn+ design funnel; ramp from late 2026.
Treo analog platform	60–70% incremental gross margin against ~39% blended today. \$1bn+ design wins secured; \$1bn revenue target by 2030; \$36bn TAM.
Synaptics / physical AI	Adds edge compute, connectivity and software. TAM +\$30bn to \$243bn. Robotics pipeline of 35+ OEM engagements with revenue expected 2028–30.
Industrial energy infrastructure	Energy storage revenue +~40% in 2026 on North American microgrids — the “AI halo” pulling through grid-adjacent power demand.
How Management Is Addressing the Downturn	
FabRight divestitures	~\$35mn annualised
Manufacturing footprint cut	-12%
Low-margin revenue exited	~\$900mn (complete)
Capex reduction, 2023→2025	-78%
Price increases	2nd round, all markets
Capital returned, 2025	~100% of FCF

Delivered vs. Promised	
Commitment	Outcome
Capex to mid-single-digit % of sales	Met early
Exit ~\$900mn low-margin revenue	Complete
#2 global SiC position	Achieved
Return 100% of FCF	Achieved
Treo \$1bn design wins	Achieved
Maintain ~45% gross margin floor	Missed
Complete destocking in line with peers	Late
Reach 53% long-term gross margin	Pending

On balance a strong record on the things management controls — footprint, portfolio, capital allocation — and a weaker one on forward margin guidance, where the ~45% floor was set before the depth of the downcycle was apparent. We weight the former more heavily, but the latter is why we model 700bps below the 53% target.

ON Semiconductor is a business at the inflection point of a cyclical recovery, with a genuinely new secular growth vector being layered on top of it, trading at a multiple that reflects neither. The shares have fallen 46% from their June 2026 high of \$134.92 while the SOXX index gave back only 22% — roughly 24 percentage points of relative de-rating in under three months, on a company that beat consensus on its most recent quarter and guided the next one above it.

The evidence that the trough is behind is reasonably clear and does not require forecasting. Q2 2026 revenue of \$1,604mn grew 9.2% year-on-year. Gross margin has expanded for four consecutive quarters to 39.3%, with Q3 guided at 41.0%. Fab utilisation recovered to 83% from 77%, and each point is worth 25–30bps of margin. Channel inventory sits at 10.1 weeks inside the 9–11 week target. SiC lead times have extended to 32 weeks with book-to-bill above one and customers ordering into 2028. The \$900mn portfolio-pruning programme that suppressed reported growth for four years is complete. None of these are the signatures of a business still in decline.

Layered on top is the AI data-centre business — growing 34% sequentially in Q2 2026, guided to more than double this year to above \$500mn and to exceed \$1bn in 2027, supported by secured design wins at NVIDIA, AWS, a major US hyperscaler and two Great Wall platforms. The 800V rack transition from late 2027 multiplies content per rack by roughly 7.7x. We model this business moving from ~4% of revenue in 2025 to ~20% by 2028, which is the fastest mix shift in the company's history and progressively reduces ON's dependence on the automotive cycle that has defined its equity story for a decade.

We are deliberately conservative in what we underwrite. Our 2028E gross margin of 46.3% sits roughly 700bps below management's 53% ambition and below the 49.0% ON achieved in 2022. Our revenue forecast returns the company to its 2022–23 peak only in 2028, five years later. We use a peer-relevered beta rather than the more flattering alternative, divide by fully diluted rather than basic shares, and **exclude the Synaptics acquisition entirely** from both estimates and target price. Even on those inputs, the blended framework produces a target of \$84.50.

We initiate coverage on ON Semiconductor Corp. with a BUY rating and a 12-month target price of \$84.50 per share, implying 16.4% upside from the current market price of \$72.61. The target is derived by probability-weighting three scenarios (70% base, 20% bull, 10% bear), each blending a discounted cash flow and a comparable-company valuation equally. It implies 26.5x FY2026E and 19.2x FY2027E adjusted earnings, and 17.3x FY2026E and 12.9x FY2027E EV/EBITDA — a modest premium to the 15.9x peer median on current-year numbers that becomes a clear discount as earnings normalise.

The principal risk to this view is that Chinese silicon carbide capacity turns tactical price concessions into broad-based price competition before the AI data-centre business reaches scale. We weight that outcome at 10% and note that it implies a value of \$68.9 — approximately 5% below the current price, which suggests the market is already discounting a substantial part of it. The asymmetry is what makes the risk-reward attractive: limited downside to a bear case largely in the price, against a base case requiring nothing more than the continuation of a recovery that is already visible in reported results.

We would also be explicit about what this call is not. It is not a bet that ON becomes Analog Devices — we do not model it reaching the peer group's margin structure, and we do not apply the peer group's premium multiple. It is not a bet on the Synaptics acquisition, which we exclude entirely. And it is not a bet on the 800V data-centre transition arriving on schedule, which sits largely outside our forecast window and outside management's control. It is a narrower proposition: that a vertically integrated power semiconductor company with ~50% incremental gross margins, emerging from the deepest trough in a decade with utilisation, lead times, book-to-bill and channel inventory all pointing the same direction, should not be valued on trough earnings at a median multiple. If we are wrong, the most likely reason is that the SiC pricing environment deteriorates faster than the volume recovery can absorb.

Rating Scale		Coverage History				
Rating	Definition (12-month expected total return)	Date	Action	Rating	TP (\$)	CMP (\$)
BUY	Expected return greater than 15%	30-Aug-2026	Initiating Coverage	BUY	84.50	72.61
ACCUMULATE	Expected return between 5% and 15%	Analyst Parshwa Shah, CFA Level I Passed 30 August 2026 linkedin.com/in/parshwa-shah-3a0015252				
HOLD	Expected return between ~5% and 5%					
REDUCE	Expected return between ~15% and ~5%					
SELL	Expected return below ~15%					

Investment Summary at a Glance

Metric	2025A	2026E	2027E	2028E	The Case in Six Numbers	
Revenue (\$mn)	5,995	6,563	7,426	8,378	Consecutive quarters of gross margin expansion	4
Revenue growth (%)	-15.3%	9.5%	13.2%	12.8%	Fab utilisation, Q2 2026	83%
Gross margin (%)	38.4%	40.3%	43.7%	46.3%	Incremental gross margin on incremental revenue	~50%
EBITDA (\$mn)	1,806	1,936	2,517	3,077	2025–28E EBITDA growth	+70%
EBITDA margin (%)	30.1%	29.5%	33.9%	36.7%	FCF margin at the cycle trough (2025)	23.7%
Adjusted EPS (\$)	2.3	3.2	4.4	5.6	Buyback authorisation as % of market cap	~21%
Free cash flow (\$mn)	1,419	1,462	1,999	2,009	Our 2028E gross margin of 46.3% sits ~700bps below management's 53% long-term target and below the 49.0% ON achieved in 2022. The Synaptics acquisition is excluded from every figure above.	
P/E at CMP (x)	31.6x	22.7x	16.5x	13.0x		
EV/EBITDA at CMP (x)	15.9x	15.0x	11.0x	8.6x		
P/E at target price (x)	36.7x	26.5x	19.2x	15.1x		

Earnings on an adjusted (non-GAAP) basis. Market-based multiples use the reported market capitalisation; the DCF uses fully diluted shares, as described on page 10.

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